

ECON 134A: Financial Management - Winter 2026 Term Project

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I. Purpose

This analysis attempts to assess the intrinsic value of Salesforce, Inc. through a 5-year Discounted Cash Flow (DCF) approach and determine if the company's existing market valuation appropriately represents its long-term cash flow capabilities. The DCF model offers a calculated method to evaluate if current pricing reflects accurate growth and risk expectations. The model uses key financial assumptions like projected free cash flow growth, a terminal growth rate, and a weighted average cost of capital (WACC) identified from market-based assumptions such as the risk-free rate, equity risk premium, and beta. These assumptions are found through publicly available financial data and industry-level valuation methods. This assessment aims to identify if Salesforce is appropriately valued, undervalued, or overvalued according to future financial forecasts and mathematical formulas learned through ECON 134A's Financial Management course.

II. Company Overview and Investment Context

Salesforce, Inc. (CRM) is one of the current global leaders in Customer Relationship Management technology, offering an extensive range of cloud-based software-as-a-service solutions that fuse sales, service, marketing, and data analytics. Founded in 1999 by Marc Benioff, it holds a 20.7% market share and serves over 150,000 businesses, according to Yahoo Finance. Following the \$27.7 billion acquisition of Slack in 2021 and the latest \$8 billion purchase of Informatica, Salesforce leadership has redirected its strategy toward improving overall operational efficiency and returning capital. After acquiring such impactful technological tools that I use on a daily basis, but haven't received an opportunity to use Salesforce as a CRM, I decided to conduct a deep-dive into what financial factors consist of this giant.

III. Assumptions and Calculations

1. Market Capitalization (Yahoo Finance & MacroTrends)
 - a. Market Cap = Share Price * Shares Outstanding
 - i. $192.83 * 923,000,000 = \$177,982,090,000$
2. Total Debt (WSJ and Yahoo Finance)
 - a. Total Debt = Short-Term Debt + Long-Term Debt
 - i. $4,548,000,000 + 12,888,000,000 = \$17,436,000,000$
3. Cost of Debt (WSJ and MarketWatch)
 - a. $R_d = \text{Interest Expense} / \text{Total Debt}$

- i. $324,000,000 / 17,436,000,000 = 1.86\%$
4. Cost of Equity (CAPM) (ValueInvesting and Alpha Spread)
 - a. $R_e = R_f + \beta(R_m - R_f)$
 - i. $4.27\% + 1.31(5.10\%) = 10.95\%$
5. Tax Rate (Yahoo Finance & MacroTrends)
 - a. Tax Rate = Income Tax Expense / Income before Tax
 - i. $2,060,000,000 / 9,520,000,000 = 21.64\%$
6. Capital Structure Weights (Yahoo Finance & MacroTrends)
 - a. Market Cap(E) = \$177,982,090,000
 - b. Debt(D) = \$17,436,000,000
 - c. $E + D = 195,418,090,000$
 - i. $E/E+D = 0.91, D/E+D = 0.09$
7. WACC (Weighted Average Cost of Capital) (Calculated via above Sources)
 - a. $0.91(0.1095) + 0.09(0.0186)(1-0.2164) = 0.100956 = 10.10\%$
8. Free Cash Flow Assumptions (Yahoo Finance & MacroTrends)
 - a. Current Free Cash Flow = \$14,402,000,000
 - b. Past 4 Years FCF (Yahoo Finance and MacroTrends): \$6.313B, \$9.498B, \$12.434B, \$14.402B
 - i. In recent years, Salesforce's free cash flow has increased significantly, but its growth has slowed from about 50% to 31% to 16%, suggesting a shift toward a more established growth stage. Following earlier times of high expansion in the 2010s, Salesforce's management team has officially released FY27 forecast predictions of free cash flow growth of between 9% and 10%, indicating a shift towards a more steady rate of growth. Based on this advice, future free cash flows are projected using a 10.00% growth rate, which is consistent with management expectations and realistic for a large-cap SaaS enterprise.
 - ii. Projected FCF Growth Rate: 10.00%
9. Projected Free Cash Flow: $FCF_t = FCF_0 * (1 + g)^t$
 - a. Year 1(2027): $14,402,000,000 * (1.1)^1 = 15,842,200,000$
 - b. Year 2(2028): $14,402,000,000 * (1.1)^2 = 17,426,420,000$
 - c. Year 3(2029): $14,402,000,000 * (1.1)^3 = 19,169,062,000$
 - d. Year 4(2030): $14,402,000,000 * (1.1)^4 = 21,085,968,200$
 - e. Year 5(2031): $14,402,000,000 * (1.1)^5 = 23,194,565,020$
10. Present Value of Free Cash Flows: $PV_t = FCF_t / (1+WACC)^t$
 - a. Year 1(2027): $15,842,200,000 / (1.101)^1 = 14,388,418,786$
 - b. Year 2(2028): $17,426,420,000 / (1.101)^2 = 14,374,850,379$
 - c. Year 3(2029): $19,169,062,000 / (1.101)^3 = 14,361,294,768$
 - d. Year 4(2030): $21,085,968,200 / (1.101)^4 = 14,347,751,939$

e. Year 5(2031): $23,194,565,020 / (1.101)^5 = 14,334,221,881$

11. Sum of Discounted Cash Flows

a. $14,388,418,786 + 14,374,850,379 + 14,361,294,768 + 14,347,751,939 + 14,361,294,768 = 71,806,537,753 = \71.8 Billion

12. Terminal Value

a. According to Wall Street Prep, the terminal growth rate is thought to be between 2% and 4%, with an average estimate of about 3%. But a higher-end assumption is more appropriate considering Salesforce's ongoing position as a major-cap technology leader with robust recurring income streams and continuous growth in enterprise software and AI-driven services. The terminal growth rate is thus predicted to be around 4%, in line with projections from ValueInvesting, indicating its capacity to maintain growth over the long run.

b. Terminal Value = $FCF_5 * (1 + g_T) / (WACC - g_T)$

i. $23,194,565,020 * (1.04) / (0.101 - 0.04) = 395448321652$

c. Discounted Terminal Value = Terminal Value / $(1 + WACC)^5$

i. $395448321652 / (1.101)^5 = 244386733714.37$

13. Enterprise Value = Sum of Discounted Cash Flows + Discounted TV

a. $244386733714.37 + 71,806,537,753 = 316193271467$

14. Net Debt = Total Debt - Cash and Short Term Investments

a. $17,436,000,000 - 9,570,000,000 = 7,866,000,000$

15. Equity Value = Enterprise Value - Net Debt

a. $316193271467 - 7,866,000,000 = 308,327,271,467$

16. Intrinsic Share Price = Equity Value / Shares Outstanding

a. $308,327,271,467 / 923,000,000 = \334.049

17. Valuation Comparison (Upside / Downside)

a. $(334.049 - 192.83) / 192.83 = 0.7323 = 73.23\% \text{ potential upside}$

	A	B	C	D	E	F	G
1							
2		Company:		Salesforce, Inc. (CRM)	In Exact USD Dollars		
3		Model:		5-Year Discounted Cash Flow			
4							
5		Key Assumptions:	Values				
6		Current Free Cash Flow		\$14,402,000,000.00			
7		FCF Growth (Years 1-5)		10.00%			
8		Terminal Growth		4.00%			
9		WACC		10.10%			
10							
11							
12		Valuation Breakdown:	Values				
13		PV of Forecast Cash Flows		\$71,806,537,752.97			
14		PV of Terminal Value		\$244,386,733,714.37			
15		Enterprise Value		\$316,193,271,467.35			
16		Net Debt		\$7,866,000,000.00			
17		Equity Value		\$308,327,271,467.35			
18							
19		Share Valuation:	Values				
20		Shares Outstanding		923000000.00			
21		Intrinsic Share Price		\$334.05			
22		Market Price		\$192.83			
23		Upside / Downside		141.2190482			
24		% Upside		73.23%			
25							

IV. Analysis

According to the DCF valuation, Salesforce is **undervalued** when compared to its current market value. The 5-year DCF model calculates an intrinsic share price of about **\$334.05**, as opposed to the market price of \$192.83, indicating a possible upside of 73.23%. The market is undervaluing Salesforce's potential to generate long-term cash flow and maintain growth as a mature SaaS company.

It is important to highlight that the accuracy of a DCF valuation is very dependent on the validity of its input and in this model, further analysis was conducted on several factors: market risk premium, FCF growth rate, and terminal growth rate. For example, the market risk premium was not chosen at random. The midpoint of 5.10% was obtained by averaging the lower and upper limits of plausible predictions (4.6% and 5.6%) through referring to multiple sources (ValueInvesting and Alpha Spread). This method attempts to minimize bias and give a more fair representation of market projections.

Another important aspect of this assessment is the assumption of a 10.00% growth rate in free cash flow (FCF), which mildly captures Salesforce's past performance and its shift into a more established growth period. In recent years, Salesforce's FCF has shown robust yet slowing growth, rising from nearly \$6.3 billion to \$14.4 billion, while yearly growth rates have significantly dropped from around 50% to 30% to around 16%. This trend suggests increasing consistency, but it also reveals fluctuations in cash flow growth as the company expands. In this specific scenario, 9.00 - 10.00% FCF range was established as supported by Salesforce's recent fiscal report and FY27 guidance, where Salesforce's management and analysts expect steady but slower growth in the future. McKinsey reports an average FCF growth margin for an established SaaS company is around 10-20%, so although this is on the lower end of the range, it remains a realistic, conservative assumption.

Lastly, the terminal growth rate was carefully chosen instead of being assumed by default. To account for Salesforce's undisputed dominance in the worldwide CRM market compared to its competitors (Microsoft Dynamics 365, Adobe, Hubspot, and Oracle), its various recurring revenue stream, and growth in enterprise software and AI-driven services, a higher-end terminal growth rate of 4.00% was selected as suggested by ValueInvesting, as opposed to the usual range of 2% to 4%, provided by Wall Street Journal. The terminal growth rate has a large influence due to its placement in the denominator of the Gordon Growth Model. A decrease in the terminal growth rate from 4.00% to just 3.00% would significantly enlarge the denominator, reducing the terminal value and thereby lowering the intrinsic share price. A 3% terminal growth rate resulted in an intrinsic share price around \$294.57, which still coincides with the assumption that

Salesforce is undervalued. Likewise, a reduction in the anticipated FCF growth rate would lower future cash flows across all predicted years.

The discount rate (WACC) is also very important in the valuation because it indicates the risk associated with Salesforce's future cash flows, but I am very confident in my WACC of 10.10% value as there was a plethora of information (Yahoo Finance, MacroTrends, and Wall Street Journal) that can be cross-verified related to the capital structure weights, types of debt, income tax, and market cap. I've understood that little changes in this factor can have a large influence on the present value of future cash flows and the overall intrinsic value.

All in all, these rates and sensitivity highlight a fundamental limitation of the DCF approach: it relies heavily on long-term predictions that are naturally uncertain, but it's important to perform very complex, well-supported analyses to ensure our assumptions align with industry standards.

V. Credibility of Sources

The assumptions utilized into this model were carefully combined and sourced from various sources to confirm an un-biased and fully informational view. To reduce dependence on any single estimate, values were verified against different platforms (a combination of official company filings and valuation databases) to ensure consistency and further establish the reliability of the data. For example, each metric was cross-checked with one of the other neighboring sources, like Yahoo Finance and Market Trends, or ValueInvesting and Alpha Spread. Linked below are important pages that have been referenced multiple times over this DCF analysis, including the Salesforce fiscal report released by their management.

1. Alpha Spread:
<https://www.alphaspread.com/security/nyse/crm/dcf-valuation/base-case>
2. MacroTrends:
<https://www.macrotrends.net/stocks/charts/CRM/salesforce/financial-statements>
3. Yahoo Finance:
<https://finance.yahoo.com/quote/CRM/key-statistics/>
4. Value Investing:
<https://valueinvesting.io/CRM/valuation/fair-value>
5. Salesforce 2026 \$Q Fiscal 2026 Results
<https://investor.salesforce.com/news/news-details/2026/Salesforce-Delivers-Record-Fourth-Quarter-Fiscal-2026-Results/default.aspx>
6. Wall Street Journal

<https://www.wsj.com/market-data/quotes/CRM/financials/annual/balance-sheet>

7. Market Watch:

https://www.marketwatch.com/investing/stock/crm/financials?mod=mw_quote_tab

8. WSJ (10-Year Treasury Note Yield)

https://www.wsj.com/market-data/quotes/bond/BX/TMUBMUSD10Y/historical-prices?gaa_at=eafs&gaa_n=AWetsqfu1JQw1hAVSzKYXK1Jx4M7d2b05yTaq1AzettC30piddZv6p3TOMhm1JDZXGI%3D&gaa_ts=69b9ff0f&gaa_sig=B8M_Dca9mqbJYezE53wMiPZQiK5rtAnTjcFOMzgE8XbhX3_LE3xUexturz94vEdNIrIUWA4F9L0B72iluIwbpQ%3D%3D

VI. Conclusion

In conclusion, this analysis determines that Salesforce, Inc. (CRM) is **significantly undervalued** by the market, with a calculated intrinsic value of **\$334.05** per share and represents a 73.23% upside compared to the current market price of \$192.83. However, a major drawback of the typical discounted cash flow method is its dependence on uncertain predictions about the future, like the 10% FCF growth rate, which can be influenced by the biases of analysts. To enhance this evaluation and deliver a more professional determination, a Reverse DCF model could be employed as verification. In comparison to a traditional DCF, which determines the price based on certain assumptions, a Reverse DCF begins with the existing market price of \$192.83 and calculates the implied growth rate that the market currently anticipates. By analyzing the data in reverse, this model will clarify the precise growth expectations for Salesforce, paving the way for the final section of the report: a reverse DCF analysis.

VII. Reverse DCF Model

Implied Equity Value from Market Price

Equity Value = Shares Outstanding * Market Price

Equity Value = \$192.83 * 923,000,000 = 177,982,090,000

Enterprise Value = Equity Value + Net Debt

Enterprise Value = 177,982,090,000 + 7,866,000,000

Enterprise Value = 185,848,090,000

WACC = 10.10%

Terminal Growth Rate = 2.5% (Average of the range provided by Professor Lang)

The Reverse DCF equation we are trying to solve is below, but we need to define **unknown** growth rate:

$185,848,090,000 = \text{PV of forecast cash flows} + \text{PV of terminal value}$

FCF0 (current free cash flow) = 14,402,000,000

Problem Statement: Which growth rate produces an Enterprise Value of \$185,848,090,000?

At this point in my Reverse DCF creation journey, I understood that it was tedious to solve the growth rate algebraically, and shifted towards using the “Goal Seek” feature on Excel on a different tab, which automatically performs the calculations once we modify our inputs after each of our trials.

How to use Goal Seek in Excel:

1. Go to Data and select What-If Analysis
2. Select GoalSeek
3. Set Cell B27 to value of 0 by changing Cell B10 (Goal Seek should prompt you)
4. Identify changes in the Growth Rate (g) cell B10

	A	B	C	D	E	F
2						
3	Share Price:	\$192.83				Assumptions:
4	Shares Outstanding:	\$923,000,000.00				Terminal Growth rate can be
5	Total Debt	\$17,436,000,000.00				Terminal Growth rate is the
6	Cash & Short-Term Investments	\$9,570,000,000.00				Our goal is to make the difference
7	Current Free Cash Flow	\$14,402,000,000.00				
8	WACC	10.10%				
9	Terminal Growth Rate	2.00%				
10	Growth Rate (g)	1.08%	This is the value that is being changed as a result of our trial and errors.			
11						
12						
13	Market Cap	\$177,982,090,000.00				
14	Net Debt	\$7,866,000,000.00				
15	Market Enterprise Value	\$185,848,090,000.00				
16						
17						
18		Year 1	Year 2	Year 3	Year 4	Year 5
19	Projected Cash Flows	\$14,557,717,947.04	\$14,715,119,554.62	\$14,874,223,026.88	\$15,035,046,764.80	\$15,197,609,368.32
20	Discounted Cash Flows	\$13,222,268,798.40	\$13,365,231,203.10	\$13,509,739,352.30	\$13,655,809,958.95	\$13,803,459,916.73
21	Sum PV of FCF	\$67,556,509,229.49				
22						
23	Terminal Value	\$191,377,303,156.67				
24	PV Terminal Value	\$118,291,580,770.51				
25						
26	DCF Enterprise Value	\$185,848,090,000.00				
27	Difference	0.00				
28						
29						
30						

My findings have determined that using the Goal Seek Excel feature, the implied FCF growth rate that produces an Enterprise Value of \$185,848,090,000 is approximately **1.08%** at a **2% terminal growth rate**. The annual free cash flow for

fiscal year 2025 was \$12.434 billion, a 30.91% increase from 2024, while the \$9.498 billion FCF for fiscal year 2024 was a 50.45% increase from 2023 (Yahoo Finance and MacroTrends). Free cash flow for Q1 of fiscal year 2025 was \$6.08 billion, a 43% increase over the previous year, with CEO Marc Benioff commenting that "our profitable growth trajectory continues to drive strong cash flow generation" (Salesforce Q1 FY2025 Earnings Release, SEC Filing). The market's implied growth forecast of 1.08% is significantly lower than any of these numbers.

A reason why I believe the implied growth rate is so low is due to the formula of the DCF model, especially the influence of the terminal value. Within this framework, the current terminal value represents about 63% of the entire enterprise value, indicating the market price is primarily influenced by long-term expectations instead of immediate cash flow growth. As the terminal value constitutes the bulk of the \$185.8 billion enterprise value, the 5-year forecast period has little impact, pushing down the implied short-term growth rate to almost zero, even when the company is financially successful. Another possible explanation of this difference is that the market is subtly factoring in risks that analysts have not yet fully recognized. Salesforce's competitors can perform and rollout the exact same CRM features in their AI-powered tools, but cheaper and faster in the coming years, so even if Salesforce is growing in the mid-teen percentage points today, the market could be questioning: "what happens to that growth rate if an alternative company adopts their customers in year 3 or 4?"

Overall, the reverse DCF model indicates that the market has a **pessimistic** outlook on Salesforce's potential for future growth. An implied FCF growth rate of only 1.08% suggests that investors do not foresee Salesforce making significant strides beyond its existing performance, despite its strong recent achievements. This likely stems from worries about the ongoing changes within the CRM and AI sector, where maintaining growth is becoming increasingly difficult as the market develops and its barrier for new, life-changing technologies has lowered. Salesforce already holds a leading position in enterprise CRM, implying that future growth will need to arise from either maximizing revenue from current customers or looking into related markets that they can squeeze as much revenue from as possible. For the current market price of \$192.83 to be justified, Salesforce's FCF growth would need to decrease sharply and remain near 1.08% over the next 5-10 years, but this would suggest that the latest increases in profit are mainly temporary instead of continuous growth. In addition, this reverse DCF valuation assumes that Salesforce is not able to profit off its AI investments, which is unlikely and hard to believe. Another possibility for current market price to be justified is that competition from rising AI-native CRM tools would need to rise in a way, taking away Salesforce's pricing power and slowing customer acquisition to almost zero net growth, which is unlikely due to its leading market share. All in all, the market's cautious perspective

seems to underestimate Salesforce's capability to maintain stable FCF growth, indicating that the current market price of \$192.83 significantly undervalues the company's future.